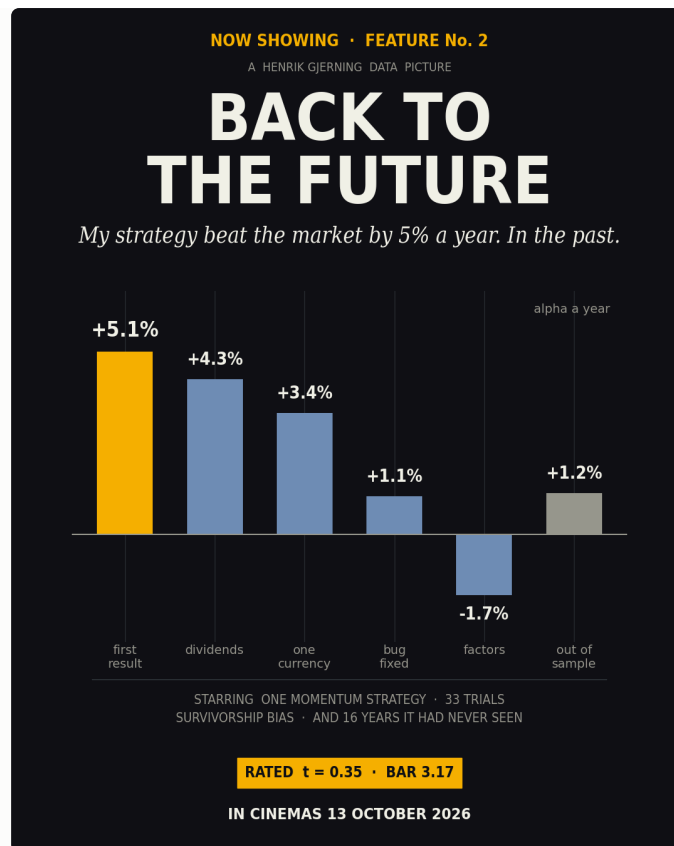




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## BACK TO THE FUTURE: my strategy beat the market by 5% a year. In the past.

Then I tested it properly.

In early September I had what every quant hopes for: a momentum strategy with +5.1% a year of alpha against the MSCI World ETF,  $t$ -stat 2.90.

Then I checked it, one correction at a time:

- Include dividends everywhere: +4.3%
- Measure every leg in the same currency: +3.4%
- Fix a bug that had quietly frozen the portfolio: +1.1%,  $t$  0.35
- Adjust for known factors: -1.7%

Then the test I wrote down in advance: sixteen years of data it had never seen. Result: +1.2% a year,  $t$  0.24, and a -79% drawdown against the market's -56%.

Two lessons cost the most.

Survivorship: backtesting on today's index members flattered the Sharpe ratio by 20–37% in every region I measured.

The wrong null: 36% of random 10-stock portfolios from the same universe also "beat" the market with  $t > 2$ .

I tried 33 things along the way, so the honest bar was  $t = 3.17$ . Nothing cleared it.

One thing survived: skipping small trades added +0.16 to the Sharpe ratio, significant in every region. The only edge I found was trading less.

The total haircut, 79%, is ordinary. Published anomalies lose 58% after publication; bank strategies lose a median 73% once live.

